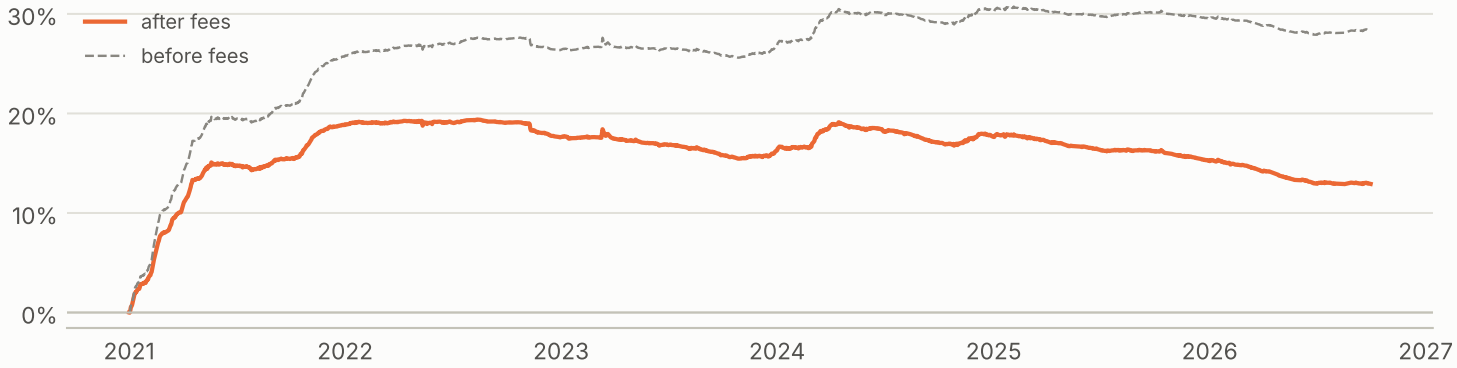
Hypothetical backtest: BTC carry, JPY hedged class

Market-neutral bitcoin carry: long spot BTC held at a custodian, short USDT-margined perpetuals on Binance and Bybit at 2x. Simulated on public data with assumed fees.

Period 2021-01-01 to 2026-09-30 | NAV and returns in JPY, after assumed fees | daily valuation at 17:00 UTC

Annualised return	Volatility (daily, annualised)	Sharpe vs TONA (95% interval)
+2.1%	**1.0%**	**0.31 (−0.2 to 0.8)**
Max drawdown	**Positive months**	**Beta to BTC (master, daily)**
−5.4%	**38%**	**0.00**

Cumulative return in JPY



Monthly returns in JPY (after fees)

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Year
2021	+3.2	+4.7	+2.2	+2.9	+1.3	−0.3	−0.3	+0.6	+0.3	+1.3	+1.3	+0.3	**+18.8**
2022	+0.2	−0.1	+0.1	+0.1	0.0	−0.1	+0.2	−0.1	−0.1	−0.1	−0.8	−0.4	**−1.0**
2023	0.0	0.0	−0.1	−0.1	−0.2	−0.1	−0.2	−0.2	−0.5	−0.3	+0.2	+0.5	**−1.2**
2024	+0.3	+0.3	+1.5	0.0	−0.2	−0.2	−0.1	−0.4	−0.4	−0.1	+0.5	+0.1	**+1.2**
2025	+0.2	−0.3	−0.3	−0.3	−0.2	−0.3	0.0	0.0	−0.1	−0.3	−0.2	−0.4	**−2.0**
2026	−0.2	−0.2	−0.5	−0.4	−0.4	−0.3	0.0	+0.1	−0.1				**−2.0**

Assumed terms

Class currency	JPY
Currency treatment	USD sold forward for JPY each month (1-month forward, covered interest parity on SOFR and TONA).
Fees (assumed)	1.5% management a year; 20% performance above a high-water mark, crystallised quarterly
Fees paid	2.22% of assets a year
Before fees	+4.4% a year (−3.2% vs the USD class)
Risk-free rate	TONA

Strategy and risks

Master, before fees: 7.7% a year since Jan 2021; worst day −0.16% (2022-11-10); worst drawdown −0.6%.

Leverage 2x on the short leg, a trade-off chosen in-sample: modelled annual liquidation probability 1.1% (target margin) to 3.9% (band edge) with a 4h top-up, above a 1% reference level; the band-edge figure rests on the fitted tail. At 1x the master earned 5.8% a year before fees, against 7.7%.

Venue risk: about 33% of master NAV sits as margin at two exchanges. Had one failed on FTX's petition date with FTX's class 5A recovery, this class would have lost 3.0% of NAV.

The forward hedge costs the USD–JPY rate gap: 5.2, 5.3, 4.0, 2.2 points in 2023, 2024, 2025, 2026 (to Sep). The excess return over yen cash is about the same as the USD class's over dollar cash.

All share classes, after fees

Class	Return	Volatility	Sharpe	Max drawdown	Fees paid	Before fees
USDT (in USDT)	+4.9%	0.8%	0.23	−0.7%	2.61%	+7.7%
USD (in USD)	+4.9%	1.0%	0.22	−0.7%	2.61%	+7.7%
JPY hedged (in JPY)	**+2.1%**	**1.0%**	**0.31**	**−5.4%**	**2.22%**	**+4.4%**
KRW hedged (in KRW)	+4.3%	1.0%	0.25	−1.4%	2.51%	+7.0%
BTC hedged (in BTC)	−7.1%	2.0%	−1.84	−34.6%	1.50%	−5.7%

Sharpe ratios: monthly excess returns over each class's own short rate (zero for BTC), annualised allowing for their autocorrelation (Lo 2002), so they are not return divided by the daily volatility shown. Volatility: daily returns annualised.

Hypothetical backtest on public data with assumed fees and costs. It is not a fund, a track record, an offer or a solicitation, and it does not describe any firm's products or terms. Past and simulated returns do not predict future returns. Legal, tax and regulatory feasibility is not assessed.